

LANSING AND CO. CPAS

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Date	August 31, 2026
To	Larry Bates c/o Bates Brewing Company 412 Stoneridge Mill Road Asheville, NC 28804
Re	August 2026 Month-End Close, Bates Brewing Company

Larry, the August close ran clean. Through month-end the brewery is on plan against the 2026 operating budget and the Phase 2 capex schedule. A short summary follows for your records ahead of the September close and the run-up to the November opening.

Phase 2 Renovation Capex

Capex draws one and two have posted on the Blue Ridge Construction schedule against the \$350,000 contracted budget. The third and final draw of \$87,500 remains expected end of September on substantial completion. Per the current contractor schedule conveyed at the August project review, substantial completion of the Phase 2 fermentation room remains on track for September 30, 2026. No change order activity in August.

Phase 1 Renovation Loan

Phase 1 renovation small business loan with Blue Ridge Community Bank: principal remaining approximately \$16,000 with one more \$650 payment posting before quarter close. Loan stays on the existing amortisation schedule and remains in good standing.

Distributor Pipeline (2027 Season)

Per the HubSpot pipeline as of the August 14 quarterly refresh, 2,180 BBL committed for the 2027 season across the eight wholesale partners (six US plus two export). Recommend a fresh reconciliation against written distributor confirmations before the November 2 opening, since several partner forecasts carry a Q4 revision flag.

Receivables Aging (August Month-End)

The following table summarizes the receivables aging buckets as of the end of August:

Bucket	Amount (USD)	Notes
0 - 30 days	\$48,210	Routine.

31 - 60 days	\$11,485	Two small US distributor invoices.
61 - 90 days	\$3,940	One Xero UK invoice from British Craft Imports, partially short-paid by GBP 300.

Great American Beer Festival Entry

The \$1,425 GABF entry filing fee for the Experimental Single-Origin Imperial Stout (Category 23, Barrel-Aged Strong Stout) is scheduled to post in early September against the operating account. Results announcement is on the calendar for October 8, 2026.

Closing Notes

Happy to expand any section on request. The September close will land in your records on or around October 5 and will include the third Phase 2 capex draw once disbursed.

Regards,

Marcia Lansing, CPA

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